BRIGHT MOTORS SALES ANALYSIS

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INTRODUCTION AND AIM

INTRODUCTION

- BRIGHT MOTORS IS A CAR SALES COMPANY, THAT SPECIALISES IN SELLING VARIOUS CAR MAKES AND MODELS ACROSS DIFFERENT STATES.
- THE NEW HEAD OF SALES WANTS TO EXPAND THE DEALERSHIP NETWORK, IMPROVE SALES PERFORMANCE AND OPTIMIZE INVENTORY.

AIM

- THE AIM OF THIS PROJECT IS TO EXTRACT INSIGHTS FROM THE HISTORICAL DATA AND USE THEM TO HELP GUIDE FUTURE SALES AND MARKETING STRATEGIES.

DATA SYSTEMS

- **PROJECT PLANNING**

-MIRO FOR PROJECT PLANNING (ANALYSIS PROCESS PLANNING AND PROCESS FLOW DIAGRAM)

-CANVA FOR PROJECT PLANNING (PROJECT TIMELINE ON GANTT CHART)

- **DATA PROCESSING**

-DATABRICKS (SQL)

- **DATA VISUALISATION**

-MICROSOFT EXCEL FOR DATA VISUALISATION AND DASHBOARD CREATION

-GOOGLE LOOKER STUDIO/ DATA STUDIO FOR DASHBOARD CREATION

-LOVABLE AI FOR DASHBOARD CREATION

- **PRESENTATION**

-MICROSOFT POWERPOINT

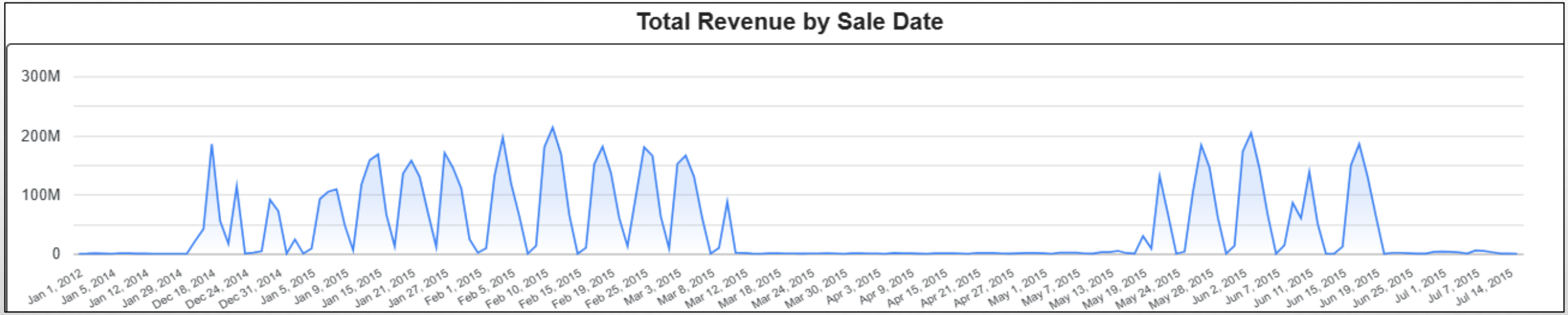
-CANVA AI

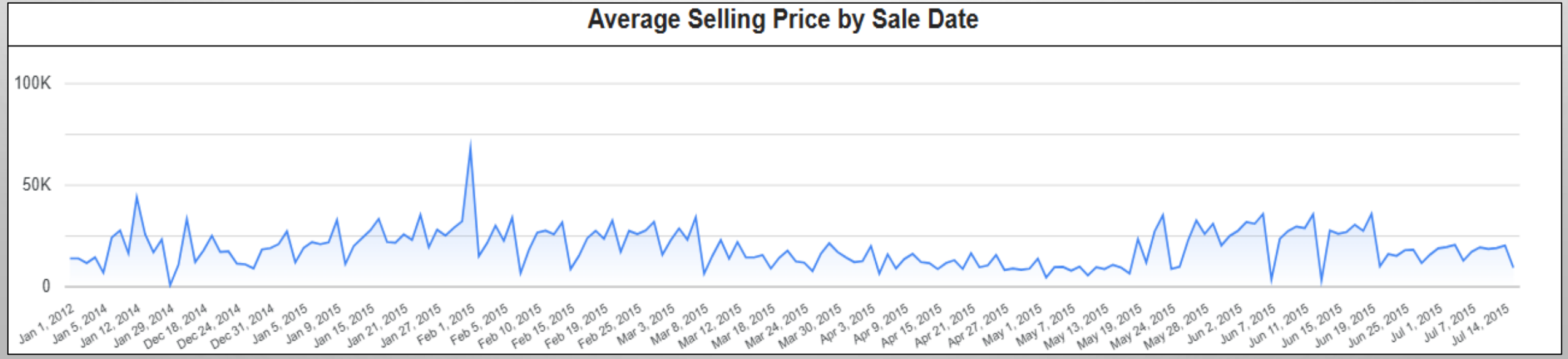
-NOTEBOOKLM AI

ANALYSIS: SALE DATE PATTERNS

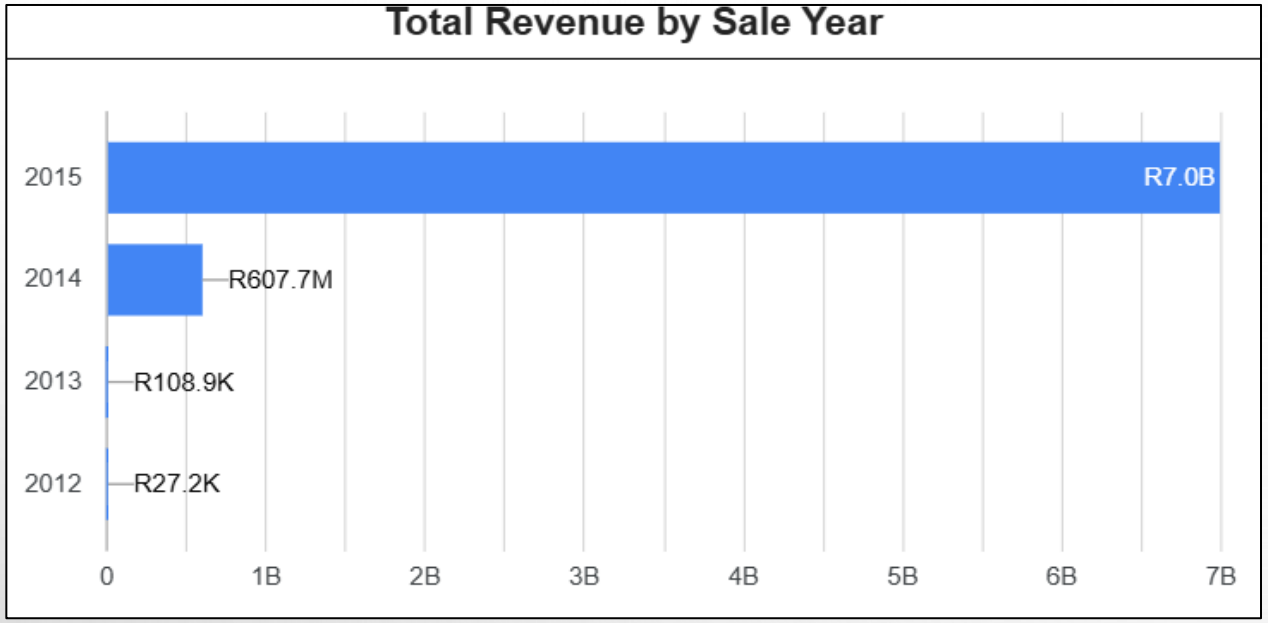
Insight:

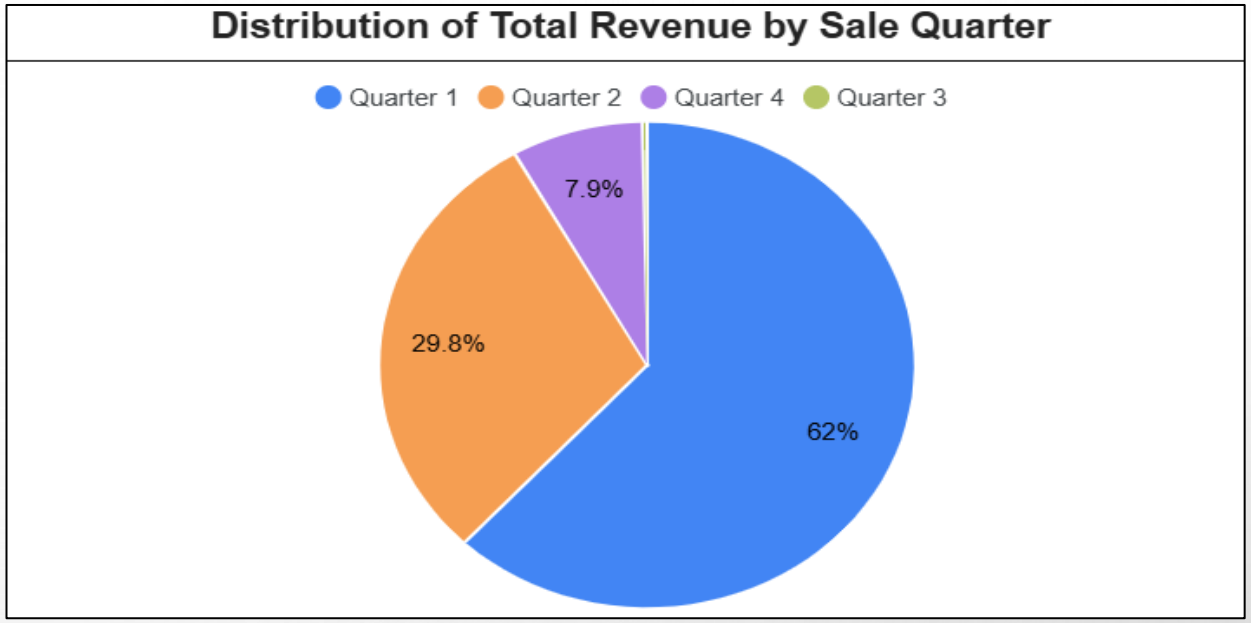
- Bright Motors made R7.61B total revenue from 558,811 units, during the period from 2012 to 2015.
- Total revenue was lowest between 2012 and early 2014, then it increased after early 2014, peaking to over R200M on the 11 February 2015 and 3 June 2015.
- The average selling price remained below R50K during the period from 2012 to 2015, except the one spike (R67.7K) on the 1 February 2015.

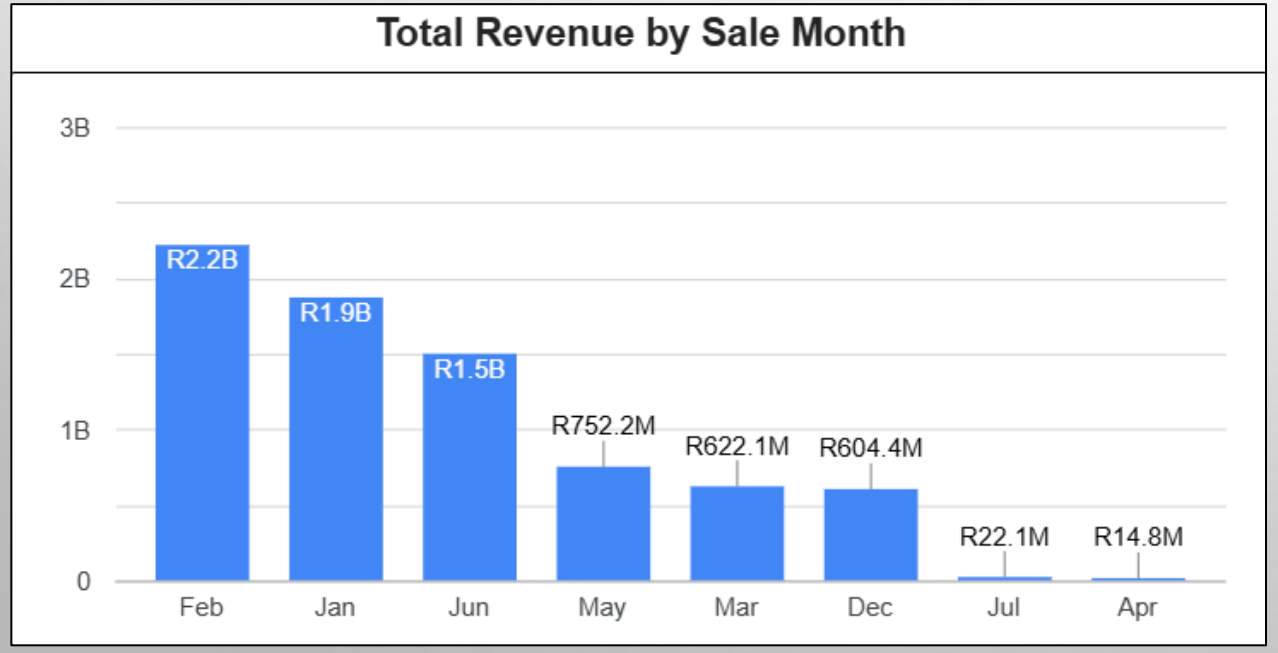




ANALYSIS: TOTAL REVENUE BY SALE YEAR, QUARTER, MONTH



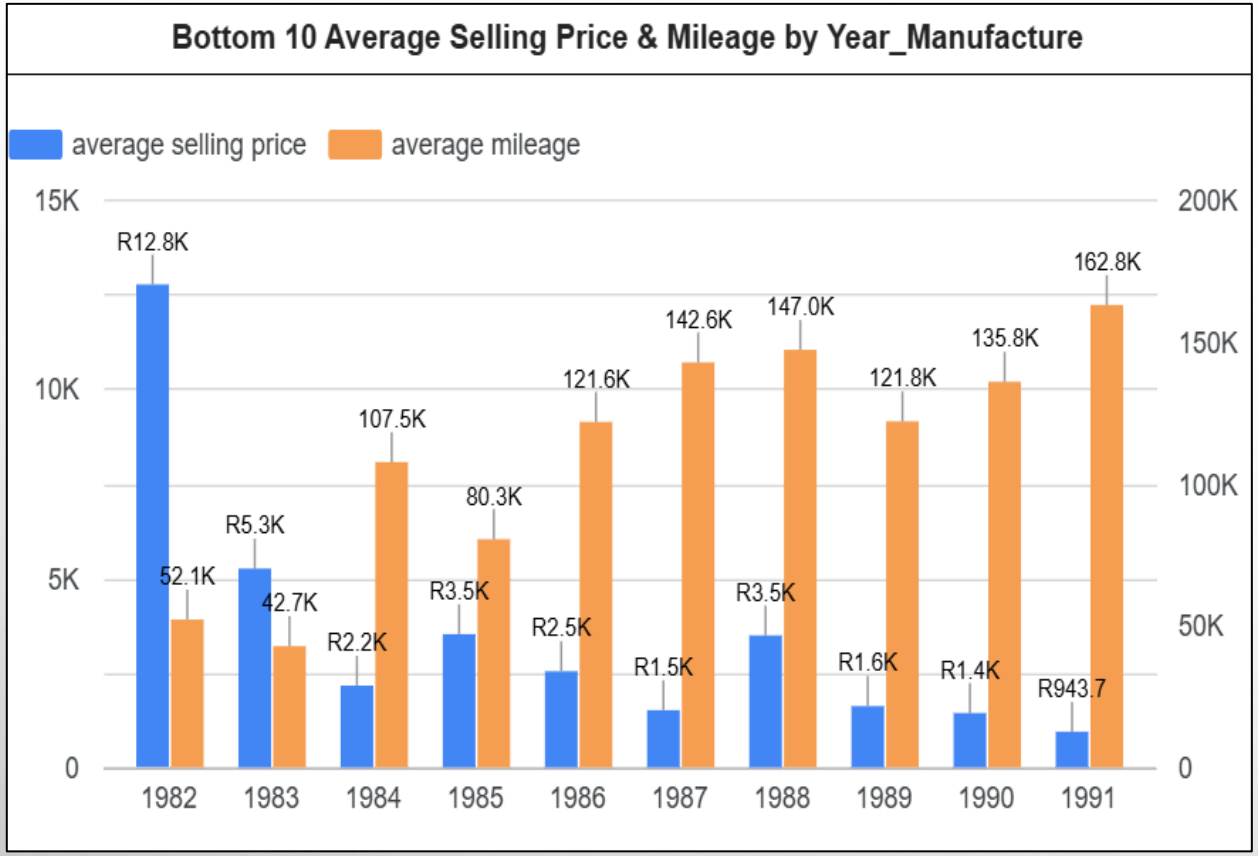


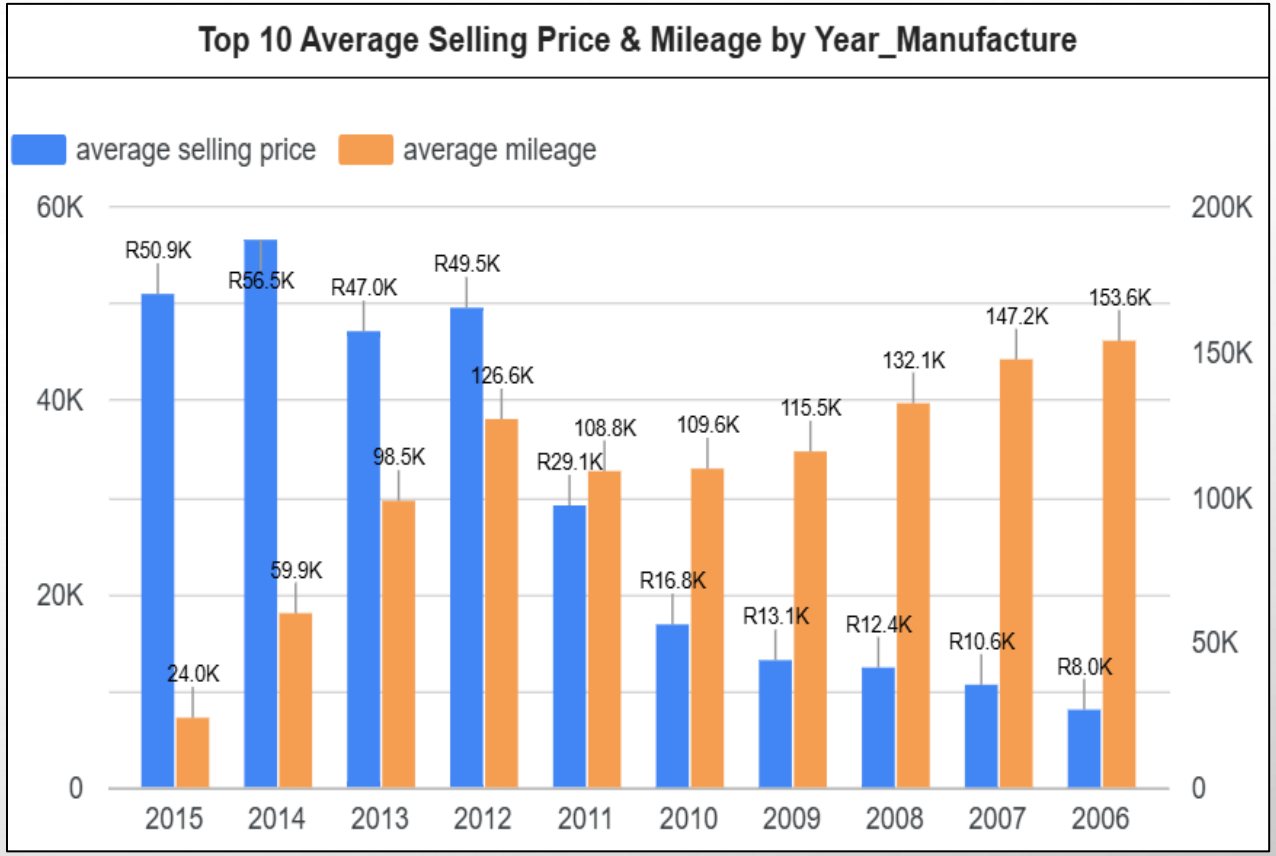


Insight:

- Majority of the total revenue was generated in year 2015 (R7.0B), compared with the previous years 2014 (R607.7M), 2013 (R108.9K) and 2012 (R27.2K).
- The highest total revenue was generated at the beginning of the year in Quarter 1 (62%), followed by Quarter 2 (29.8%).
- A low total revenue was generated towards end of the year in Quarter 3 (R0.3%) and Quarter 4 (7.9%).
- February has the first highest total revenue (R2.2B), followed by January (R1.9B); these months fall into Quarter 1.
- June has the second highest total revenue (R1.5B), followed by May (R752.2M); these months fall into Quarter 2.

ANALYSIS: AVERAGE SELLING PRICE, AVERAGE MILEAGE BY YEAR OF MANUFACTURE

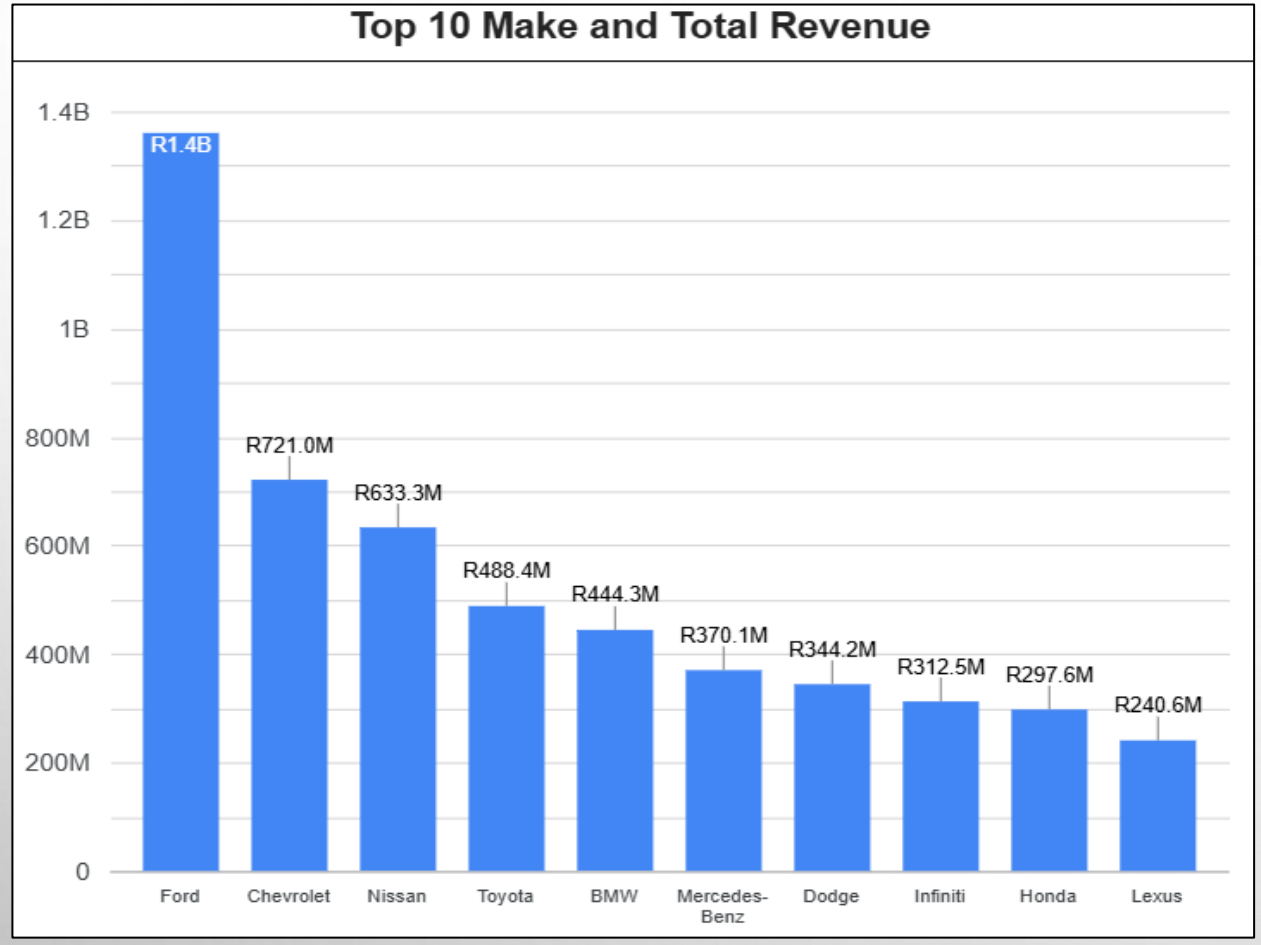


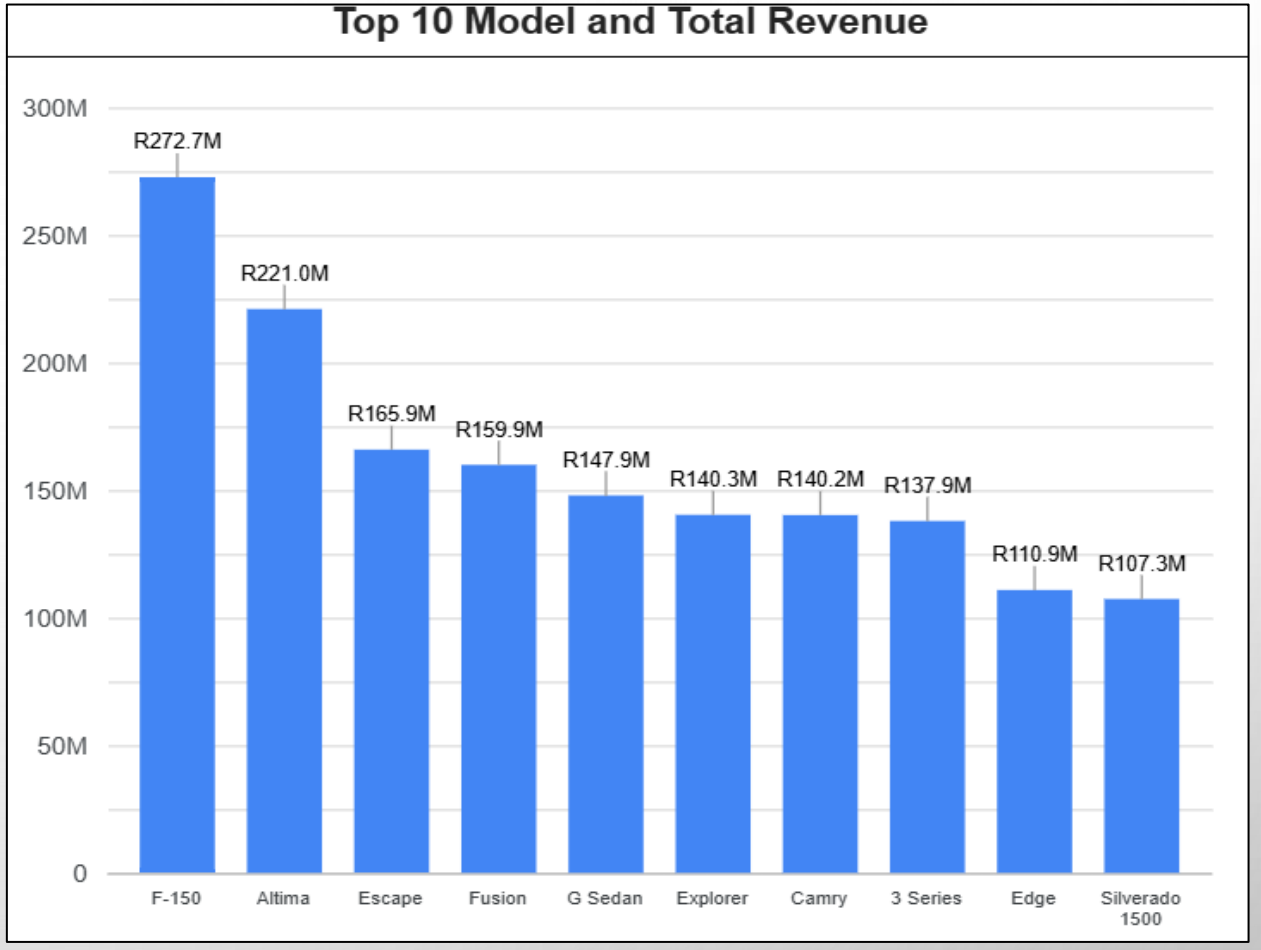


Insight:

- The oldest car was manufactured in the year 1982 and the newest car was manufactured in the year 2015.
- When the average mileage was low, the average selling price was high, showing a negative relationship between mileage and average selling price.
- Old cars manufactured between 1982 and 1991 have a low average selling price ranging from R943.7 to R12.8K, and a high average mileage ranging from 52.1K to 162.8K.
- New cars manufactured between 2006 and 2015 have a high average selling price ranging from R8.0K to R50.9K, and a low average mileage ranging from 24.0K to 153.6K.

ANALYSIS: TOTAL REVENUE BY MAKE AND MODEL



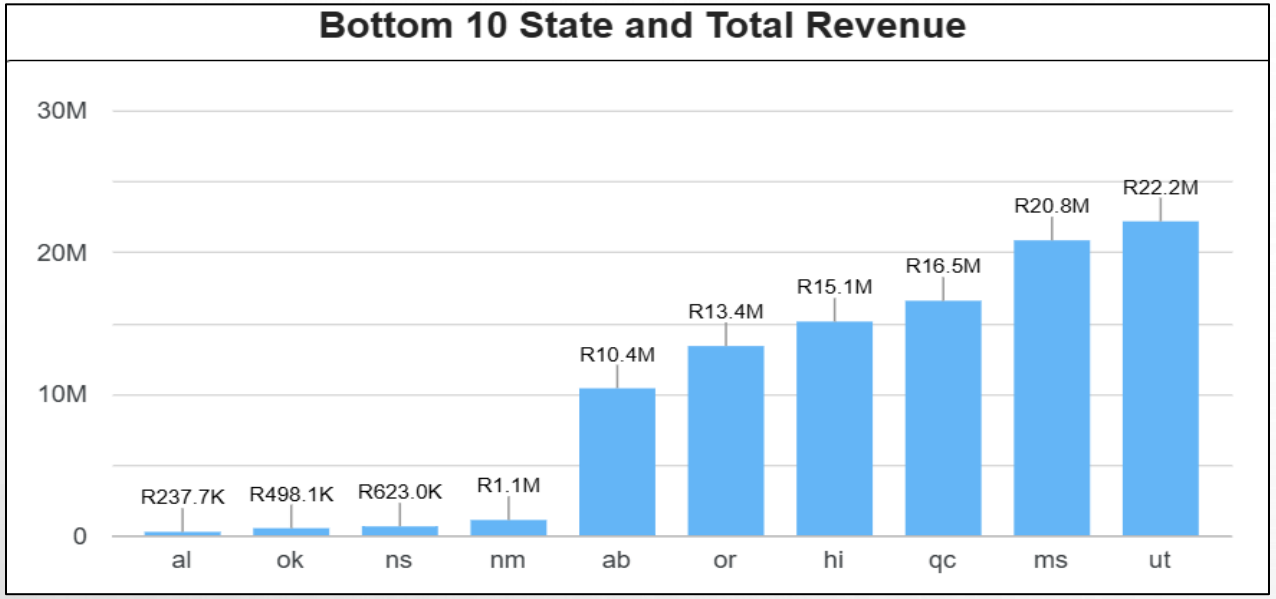


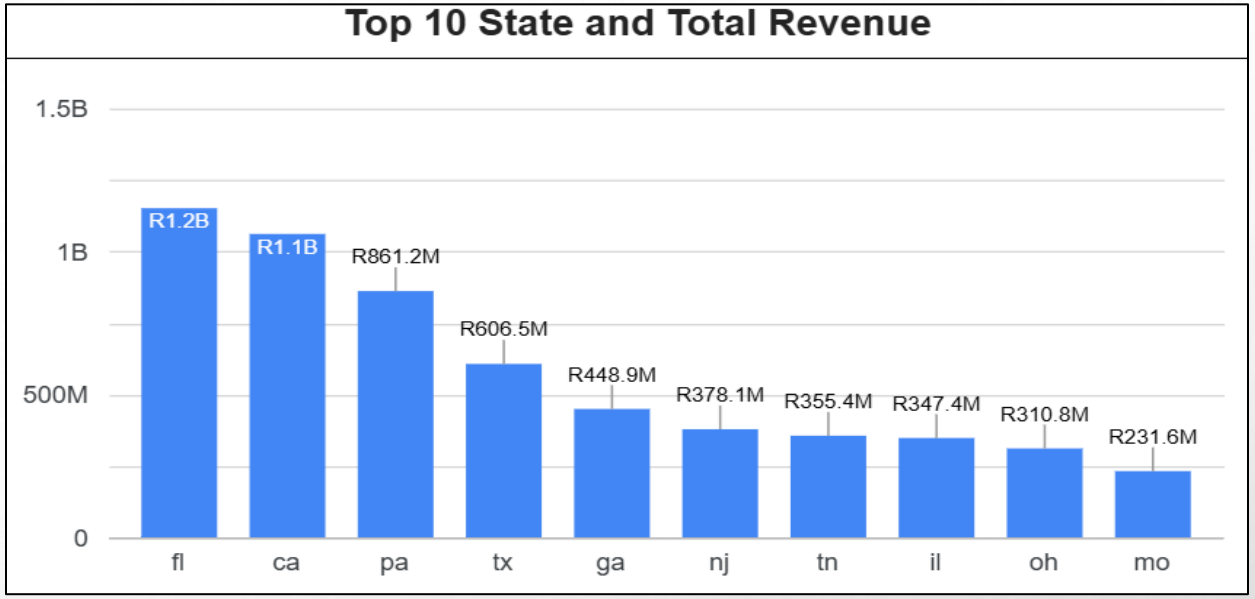
Insight:

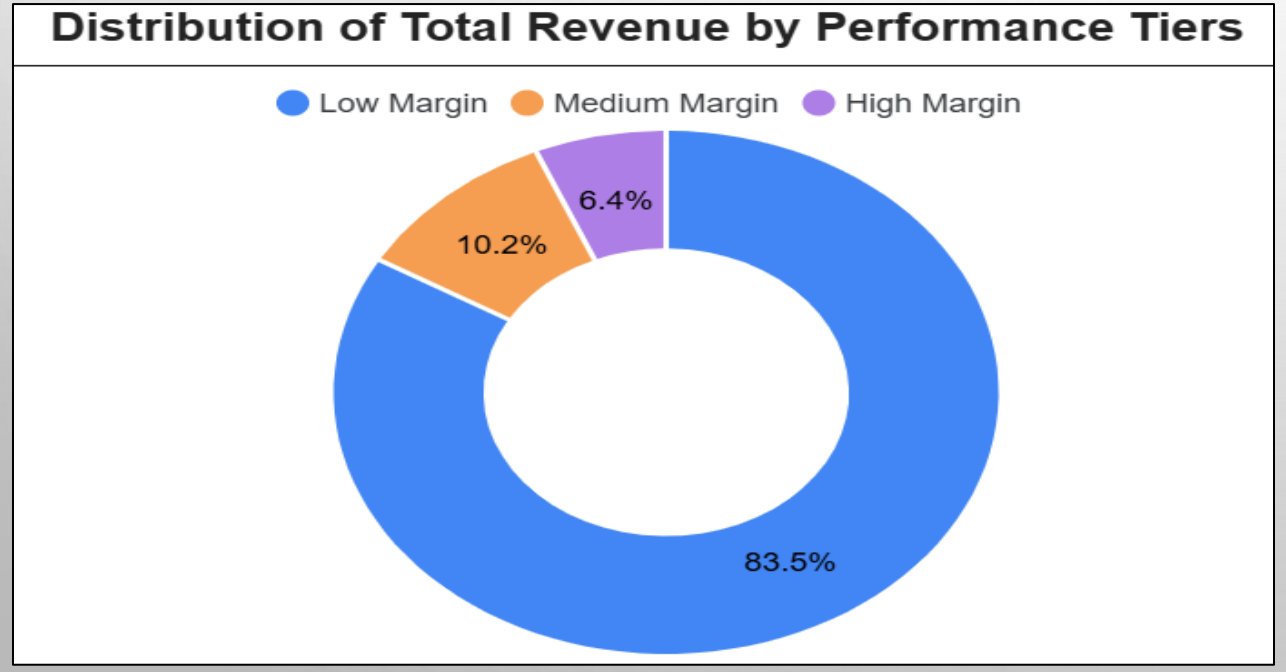
- Make: The highest total revenue was generated by Ford (R1.4B), followed by Chevrolet (R721.0M), Nissan (R633.3M), Toyota (R488.4M) and BMW (R444.3M).

- Model: The highest total revenue was generated by F-150 (R272.7M), followed by Altima (R221.0M), Escape (R165.9M), Fusion (R159.9M) and G Sedan (R147.9M).

ANALYSIS: TOTAL REVENUE BY STATE AND PERFORMANCE TIERS







Insight:

- fl, ca, pa, and tx are the best performing states, having a total revenue of R1.2B, R1.1B, R861.2M and R606.5M respectively.

- The worst performing states are al, ok, ns and nm, having a total revenue of R237.7K, R498.1K, R623.0K and R1.1M respectively.

- The distribution of total revenue by performance tiers shows that most of the total revenue falls into the Low Margin (83.5%), followed by Medium Margin (10.2%) and High Margin (6.4%), this shows a major profitability issue.

ANALYSIS: SUMMARY OF TOTAL REVENUE BY STATE, MAKE, MODEL AND QUARTER

Top 19 Total Revenue by state, Make & Mode

	state	make	model	total_revenue
1.	fl	Nissan	Altima	R40.27M
2.	ca	BMW	3 Series	R39.48M
3.	ca	Infiniti	G Sedan	R37.10M
4.	tx	Ford	F-150	R35.47M
5.	fl	Toyota	Camry	R34.00M
6.	ca	Nissan	Altima	R31.78M
7.	mi	Ford	F-150	R31.00M
8.	pa	Nissan	Altima	R27.05M
9.	ca	BMW	5 Series	R26.88M
10.	pa	Ford	F-150	R24.07M
11.	ca	Mercedes-Benz	E-Class	R22.86M
12.	fl	Lexus	RX 350	R22.78M
13.	pa	Honda	Accord	R22.76M
14.	fl	Infiniti	G Sedan	R22.36M
15.	tn	Ford	F-150	R22.24M
16.	ca	Mercedes-Benz	C-Class	R21.89M
17.	fl	Toyota	Corolla	R21.38M
18.	fl	Ford	F-150	R21.13M
19.	fl	BMW	3 Series	R20.10M

Top 10 Total Revenue by State and Quarter

	state	quarter_name	total_revenue
1.	fl	Quarter 1	R720.12M
2.	ca	Quarter 1	R649.25M
3.	pa	Quarter 1	R498.85M
4.	tx	Quarter 1	R372.35M
5.	fl	Quarter 2	R354.22M
6.	pa	Quarter 2	R307.86M
7.	ga	Quarter 1	R290.33M
8.	ca	Quarter 2	R272.51M
9.	tn	Quarter 1	R254.79M
10.	nj	Quarter 1	R244.04M

Insight:

- The dominant cars in multiple states are the Ford F-150 (in fl, pa, tx, mi and tn) and the Nissan Altima (in fl, ca and pa) and the Infiniti G Sedan (in ca and fl).

- In ca most of the total revenue is generated from BMW, Infiniti, Nissan and Mercedes-Benz.

- The states that generated the highest total revenue during Quarter 1 are fl, ca, pa, tx, ga, tn and nj.

RECOMMENDATIONS

- **EXPANSION:**

- USE HIGH-PERFORMING STATE-MAKE/MODEL COMBOS TO GUIDE EXPANSION WHEN OPENING NEW DEALERSHIPS.
- FOCUS ON HIGH-PERFORMING STATES AND HIGH PERFORMING MAKE AND MODEL MIXES, ENSURING CONSISTENT STOCK AVAILABILITY TO TOP SELLERS.
- REASSESS OPERATIONS IN UNDERPERFORMING STATES (RELOCATION, DOWNSIZING, OR DIGITAL-ONLY PRESENCE).

- **SALES PERFORMANCE:**

- EXPAND DEALERSHIP PRESENCE DURING HIGH-DEMAND SEASONS (QUARTER 1) TO MAXIMIZE ON EARLY-YEAR DEMAND.
- FIX WEAK QUARTERS (QUARTERS 3 AND 4) BY INTRODUCING LOW-SEASON PROMOTIONS SUCH AS DISCOUNTS, FINANCING DEALS, OR TRADE-IN INCENTIVES TO IMPROVE YEARLY REVENUE DISTRIBUTION.

- **INVENTORY OPTIMIZATION:**

- ALIGN STOCK WITH MILEAGE, AGE, AND REGION-SPECIFIC BEST SELLING MAKES AND MODELS.
- USE A SEGMENT SPECIFIC STRATEGY SUCH THAT IN PREMIUM DEALERSHIPS YOU SOURCE LOW-MILEAGE NEWER CARS, TO INCREASE AVERAGE SELLING PRICE AND IMPROVE PROFITABILITY. AND IN BUDGET DEALERSHIPS YOU SOURCE HIGH MILEAGE OLDER CARS.

- **PROFITABILITY:**

- MOVE AWAY FROM HEAVY DEPENDENCE ON LOW-MARGIN SALES, BY CHANGING PRICING AND PRODUCT MIX STRATEGY TOWARD MEDIUM/HIGH-MARGIN SALES.
- NEGOTIATE SUPPLIER PARTNERSHIPS WITH TOP MAKE/MODEL TO INCREASE AVERAGE SELLING PRICE AND IMPROVE MARGINS.
- REPLICATE PEAK-PERIOD SALES STRATEGIES (CAMPAIGNS, PROMOTIONS, DEALER INCENTIVES), USED AROUND EARLY 2015 TO SUSTAIN HIGH REVENUE PERIODS.

Q & A

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